PSS ACCEPTANCE 360

F03 | Regulatory, Legal, Data Protection and Compliance Feasibility Assessment

Payment permission perimeter • bank/PSS contracts • personal data • critical-infrastructure cybersecurity • decision gates

Pre-appointment working paper | Version 1.0 | 19 October 2026 | CONFIDENTIAL - draft for later institutional review

LEGAL FEASIBILITY VERDICT - NOT ESTABLISHED

PSS Operate + Connect may be legally feasible under a properly structured bank-sponsored service, but the draft has not examined original PSS POS/gateway licence conditions, NBE correspondence, bank or rail contracts, ECA registration status or critical-infrastructure designation. It confers no authorisation to operate or approach a regulator as PSS.

Document control and decision to be sought

Control	Position
Reference	PSS-A360-F03-001 / Volume III; companion F03-R01 compliance and legal evidence registers.
Document authorisation	Independent pre-appointment research draft; NOT an official PSS legal opinion, policy or approved arrangement.
Scope	Read-only bank-scoped operational evidence, reconciliation and exception service (PSS Operate + Connect). PSS Accept conditional; Grow and agents excluded from initial release.
Source hierarchy	Enacted proclamations/directives and original licences > authenticated contractual obligations > official supervisory guidance > draft strategy > public company claims > design hypotheses.
Internal evidence	None reviewed: no actual licences, legal memos, contracts, DP registration, data flows or incident logs.
Review owners	PSS Legal/Compliance; NBE liaison; PSS CISO/DPO; sponsoring bank legal/compliance; Risk; PSS Board/ExCo under delegated authority.
Approval request	Approve bounded legal verification after appointment; NOT a licence extension, supplier award or live-pilot authorisation.

Executive legal risk summary

Workstream	Public-evidence position	PSS-specific verdict
NBE payment services	PSO/001/2013 is publicly registered; newer POS/gateway permissions publicly announced but original terms not inspected.	UNKNOWN: obtain originals, endorsements, permitted product activities and notices.
Bank and rail relationships	Bank-sponsored operational services feasible as a structural hypothesis; participant rules and feed entitlements unknown.	UNKNOWN: verify bank legal roles, API rights, EthSwitch/QR/scheme permissions.
Personal data protection	Proclamation No.1321/2024 is in force; ECA publishes controller/processor registration guidance.	UNKNOWN: controller/processor allocation, lawful grounds, registration, DPIA, transfer limits.
Critical-infrastructure security	INSA confirms new Proclamation No.1426/2026 and finance-sector relevance.	UNKNOWN: designation, clearance, national reporting, cybersecurity supplier duties.
Consumer protection	NBE publishes FCP/01/2020 and formal complaint guidance.	UNKNOWN: contractual complaint ownership and legally required timelines.

Workstream	Public-evidence position	PSS-specific verdict
Draft payment policy	NDPS 2026-2030 remains labelled draft by NBE.	NOT authority for subsidy, MDR, QR interchange or shared-agent permissions.

FOUR NON-SUBSTITUTABLE GATES

(1) Permission to conduct the exact payment-adjacent activity; (2) authorised bank/rail interfaces and signed operating responsibilities; (3) lawful and registered personal-data processing where required; and (4) applicable cybersecurity designation, approvals and resilience obligations. Passing one does not pass the others.

1. Regulatory perimeter and prohibited assumptions

Proposed R0 is an observational service ingesting only authorised payment evidence. It stores bank-scoped event provenance, compares authorised source records, detects mismatches and routes cases to designated bank/PSS operators. It does NOT itself approve KYC, create merchant accounts, move funds, instruct settlement, alter bank ledgers, approve refunds, issue payment instruments, manage escrow or launch a new QR scheme. This narrower design mitigates but does not automatically eliminate licensing and supervision obligations.

Question	Why it changes classification	Proof / decision owner
Is processing transaction evidence a licensed payment-system activity under PSS actual terms?	Operator activity scope can depend on processing, access and outsourced functions—not just fund custody.	PSS Legal: written permission map; NBE consultation if required.
Can one PSS utility serve multiple bank acquirers?	Neutral access, outsourcing, segregation and scheme participation may impose additional conditions.	PSS + bank counsel: agreements and eligibility criteria.
Who may access settlement-status evidence?	Availability/rights differ by bank, scheme, clearing platform and service provider.	Bank, PSS Ops, rail owner: permitted data-feed schedules.
Can PSS represent outcome, settlement and finality?	Incorrect statements can cause consumer harm and erroneous merchant credits.	Authoritative bank/rail status source and contracted disclosure language.
What changes if Accept/SoftPOS is later activated?	Terminal/card/QR certification, scheme, device oversight and separate operator permissions arise.	Second, standalone licensing and scheme-approval gate.

2. Principal legal and supervisory instruments

Instrument / status	Use for F03	Caution
National Payment System Proclamation 718/2011 and ONPS/02/2020; related amendments	Map national-payment oversight and licensed operator scope.	Lawyers to check current consolidated text and amendment/waiver history.
NBE PSO operator register (live public webpage)	Externally corroborate PSS switch listing PSO/001/2013.	Does not prove separate August 2026 permissions or licence terms.
NBE Financial Consumer Protection Directive FCP/01/2020	Customer communication, fair terms, service interruption, complaints and remedies.	Entity and service applicability require counsel review.
Personal Data Protection Proclamation 1321/2024 (in force)	Lawfulness, role allocation, registration, purpose limits, safeguards and incident handling.	Do not assert blanket consent basis or pre-agree PSS is “only a processor”.
Critical Infrastructure Cybersecurity Proclamation 1426/2026	Investigate designation, supply-chain assurance, clearance and incident notification.	Finance sector coverage is not proof that every PSS component is designated.
NBE draft NDPS 2026–2030	Policy-context and possible future opportunity only.	Not effective law or approved fund, subsidy or tariff authority.

3. Multi-party authority and responsibility model

The contractual model in P03 is provisional. A bank's accountability for merchant accounts and settlement does not discharge PSS of its own duties as a licensed operator, processor, supplier and, where applicable, data controller or joint controller. Legal allocation depends on service facts and the actual contracts.

Control decision	Proposed accountable party	F03 required evidence
Merchant account/KYC/underlying relationship	Sponsoring bank	Bank licence/merchant terms; onboarding RACI; KYC policy.
Payment decision, settlement and financial remedy	Authorised bank/participant; PSS supports only within actual mandate	Bank/rail agreement, account/settlement source authority; refund rules.
PSS operation, logging, security and service access	PSS	Service agreement, operator licence scope, internal control framework.
Source message integrity and status codes	Relevant source/rail contract owner + PSS adapter	Technical and legal interface specification, permitted use.
Personal data controller/processor roles	Determine per processing purpose; not preassigned	Purpose map, instructions, joint-role assessment if applicable, ECA registration.
Consumer complaints and regulator escalation	Financial-service provider as prescribed; PSS contracted operational support	Consumer terms, complaints SOP, escalation/recording requirements.
Related-party supplier PSS Trading / vendors	PSS contracting authority plus selected supplier	Conflict register, independent benchmark, DPA/security schedules.

4. Personal-data feasibility and processing inventory

An append-only evidence journal can contain merchant identifiers, account references, phone numbers, payment references, location, device traces, user operator IDs and dispute narratives. "Read only" does not mean "not personal data". Build a purpose-by-purpose record; evaluate lawful basis, controller/processor designation, registration, notices, data-subject rights, DPIA, retention and breach procedures before live data exposure.

Data/processing use	Initial minimisation assumption	Clearance dependency
Transaction matching and merchant casework	Pseudonymised references; no unnecessary PAN, PIN, biometrics or raw full account identifiers.	Approved field inventory and lawful purpose.
Bank reporting and reconciliation	Bank tenant identifiers, approved outcome states, qualified timestamps.	Bank source licence, bank/customer disclosures and retention schedule.
Fraud/security telemetry	Service event metadata and limited operator identity.	Separate security purpose, access limitation, deletion retention.
Cross-bank analytics / development	Aggregated non-identifying metrics only until legal basis/permissions confirmed.	No reuse for marketing, scoring or unapproved profiling.
Cloud or foreign processor	Hosting location, logs, backups, support and offshore access mapped.	ECA cross-border conditions and regulator/contract restrictions.
Incident response	Breach classification, preserved logs, notification workflow and notices.	Legal clock mapping for ECA / INSA / NBE / bank, fact dependent.

Registration note: ECA publishes data-handler registration guidance for controllers and processors. The implementation, status and applicability to PSS must be verified; public guidance does not establish that PSS has registered or must register each separate proposed module independently.

5. Critical-infrastructure cybersecurity: new 2026 workstream

INSA announced Proclamation 1426/2026 and identifies finance among the critical sectors; its document repository also lists designated-sector cybersecurity standards. Legal and security teams should obtain the Gazette, assess whether PSS or partner infrastructure is formally designated, identify required certification/clearance, determine authorised cybersecurity vendors, and map overlapping incident-reporting triggers. No designation or clearance of PSS is claimed here.

Question to resolve	Source and verification path	Risk if unresolved
Is PSS designated as critical infrastructure?	INSA authoritative designation notice / counsel confirmation.	Unassessed special obligations and approval scope.
Which components/vendors need clearance before live use?	Current INSA standards and cybersecurity supplier authorisation.	Supplier/platform may be non-deployable.
What notifications and time limits apply to which incident types?	Gazette clause mapping + ECA/NBE/INSA procedures.	Late or misdirected notice; contractual breach.
What evidence, tests and record preservation are mandatory?	CISO-led regulatory control crosswalk and sign-off.	Missing audit trail and unmanaged legal risk.

6. Customer protection, complaint and dispute handling

NBE's public guidance describes a consumer escalation route where a financial provider has not resolved or responded to a complaint within 10 business days. Do not present this as a PSS–bank engineering SLA or as the deadline for every legal procedure. PSS should operate a bank-scoped case support process with a defined point of first contact, owner for customer response, evidence retention and formal escalation to the regulated provider. Distinguish service interruptions, fraudulent actions, duplicate charges, pending reversals, final account adjustments and data-subject complaints.

- Require merchant-facing language for "received", "processing", "matched", "reversed" and "settled": never promise finality based only on authorisation data.
- Contractually specify bank/PSS responsibility for disclosures, contact centre, case handoff, data-subject request and compensation decision.
- Ensure complaint evidence and audit trails are protected, minimised, retrievable and retained under an approved schedule.

7. Contract set: minimum schedules before live bank data

Contract / schedule	Minimum controls
PSS–bank master services agreement	Defined service; approved instruction scope; licence boundaries; roles; service change control; audit and regulator access.
Data processing and sharing annex	Purpose and lawful basis; controller/processor responsibilities; notices; minimisation; retention; data subject rights; breach cooperation.
Source/rail permission schedule	Permitted data feed; authentication; onward sharing; status evidence limitations; fees; suspension and audit rights.
Cybersecurity and resilience schedule	Encryption, segregation, SOC, secure development, vulnerability handling, incident evidence, DR and subcontractor assurance.
Customer support and financial authority schedule	Who tells merchants; complaint routing; refund/settlement decision restriction; escalation and records.
Vendor/PSS Trading agreement	Competitive related-party review; security due diligence; data portability; IP, subcontracting, exit, termination and continuity.

8. Legal feasibility hard gates and decision criteria

Gate	Exit evidence	Permissible status now
LG01 - PSS permission	Original PSO + new POS/gateway licences, amendments, supervisory conditions and counsel opinion.	OPEN
LG02 - Bank/rail rights	Signed bank-authorised use-case and source rights; scheme/rail approvals where necessary.	OPEN
LG03 - Data law	Data roles/bases, necessary ECA registration, processing records and privacy sign-off.	OPEN
LG04 - Critical infrastructure	INSA designation/clearance applicability and	OPEN

Gate	Exit evidence	Permissible status now
	cyber obligations sign-off.	
LG05 - Consumer protection	Approved responsibilities, merchant-facing terms, complaints and remedy route.	OPEN
LG06 - Cyber/privacy incidents	Legally mapped notifications, joint response plan and dry-run.	OPEN
LG07 - Supplier/outsourcing	Vendor eligibility, audit/access, related-party and third-party processing controls.	OPEN
LG08 - Operational contracts	RACI, SLA, liability, exit, DR, data return/deletion and compliance change.	OPEN
LG09 - Cross-border data	Hosting/backups/support map; lawful international flows or domestic-only evidence.	OPEN
LG10 - Written legal sign-off	Bank legal, PSS Legal/Compliance and CISO signed gate certificate.	OPEN

DECISION RULE

Any unaddressed gate that is material to the proposed live scope blocks live-pilot authorisation. A “not applicable” result requires a written legal rationale and reviewer identity. This desk study does not self-clear any gate.

9. Regulatory consultation sequence and authorised engagement

Stage	Internal authority / agenda	Record
Pre-appointment	Prepare open legal issues, jurisdiction map and question list from public law only; do not represent PSS.	Dated personal research note.
Post-appointment 1	Legal & Compliance obtain complete licences, NBE correspondence, bank terms, ECA/INSA status and counsel opinion.	Restricted legal data room and issue matrix.
Post-appointment 2	Approve regulated service description and prepare any NBE/ECA/INSA clarification request through authorised channels.	Approved consultation memo and written responses.
Post-appointment 3	Joint PSS-bank contract mapping; agree DPA, service responsibilities and regulatory reporting.	Signed schedules and source permissions.
Gate review	Independent Legal, DPO/CISO and bank counsel challenge; residual risks and restrictions.	Formal no-objection or STOP/REDESIGN decision.

10. Integration with the programme and action notebook

Input/output	Cross-reference / required update
S03 / V05	Actual licence/certification and product scope requests; no original internal evidence is available.
P01 / P02	Confirm read-only design boundaries and the lawful data dictionary, status labels and retention.
P03	Convert proposed RACI and complaint/settlement restrictions into approved bank service agreements.
P04	Qualify contractors, PSS Trading related-party route, privacy schedules and critical-sector security clearances.
F02	Add 1426/2026 critical infrastructure legal scope as a new technical feasibility dependency.
F04 / F05	Price legal counsel, registration, approvals, security assurance,

Input/output	Cross-reference / required update
	audit, insurance, hosting and incident obligations.
ExCo	No live acceptance or payment-status assertion without signed legal and technical permissions.

11. Conditions that would change the investment thesis

- STOP/REDESIGN if PSS cannot legally obtain or use bank/rail evidence for multi-bank merchant operations.
- STOP/REDESIGN if regulator/contractual requirements force custody, settlement, payment initiation or additional authorisation not included in the original business case.
- RE-SCOPE if data-protection or critical-infrastructure controls make the multi-bank utility costlier than a bank-specific solution.
- CONTINUE conditionally only if a legally bounded, contract-supported minimum service has identified economic buyers and costable controls.

12. Final preliminary legal disposition

F03 DETERMINATION - RESEARCH ONLY

Regulatory pathway: identifiable but not cleared. Original PSS permissions: unverified. Bank and rail contracts: unavailable. Privacy roles and registration: not evidenced. Critical infrastructure scope: new material unresolved workstream. Recommendation: proceed with lawful, authorised legal fact-finding; do not approve production integration, bank data exchange, procurement reliant on unverified permissions or public readiness claims.

Annex A — Authoritative source register (as accessed 19 Oct 2026)

ID	Official source / URL	Use / limitation
EX01	NBE operator registry https://nbe.gov.et/payment-instrument-issuers-system-operators/	PSS PSO/001/2013 publicly listed; not a substitute for licence annexes.
EX02	NBE ONPS/02/2020 PSO directive https://nbe.gov.et/files/licensing-and-authorization-of-payment-system-operators-directive-no-onps-02l2020/	Primary directive reference; counsel must verify amendments and full operative text.
EX03	NBE ONPS/04/2021 amendment https://nbe.gov.et/files/payment-instrument-issuer-and-payment-system-operator-onps-04-2021/	Applicable amendments to be mapped; not read as blanket permission.
EX04	NBE payment-system directive index https://nbe.gov.et/directives/poyment-system/	Confirm subsequent amendments and status of licensing directives.
EX05	NBE FCP/01/2020 directive https://nbe.gov.et/files/financial-consumer-protection-directive-no-fcp-01-2020/	Consumer disclosure/redress framework; verify precise applicability.
EX06	NBE financial-consumer complaints https://nbe.gov.et/fcpe/complaint/	NBE website states recourse after unresolved complaint within 10 business days.
EX07	Ministry of Justice: PDPA 1321/2024 https://justice.gov.et/en/law/personal-data-protection-proclamation/	Confirms in-force law; final clause-level analysis requires official text.
EX08	ECA data-handler registration guide https://pdp.eca.et/pdp-guide	Controller/processor role, activities, sub-processors, transfers; process guidance.
EX09	ECA PDPA registration guidance https://pdp.eca.et/blog/compliance/how-to-register-personal-data-protection-in-ethiopia	Authority describes registration before personal-data processing; verify PSS status.
EX10	INSA: Critical Infrastructure Proclamation announcement https://insa.gov.et/blog/Critical-Infrastructure-Cybersecurity-Proclamation-Marks-a-Major-Step-Toward-Safeguarding-Ethiopia%27s-Digital-	2026 law; finance sector cited, specific PSS designation must be confirmed.

ID	Official source / URL	Use / limitation
	Sovereignty-%E2%80%93-INSA-Director-General-Tigist-Hamid	
EX11	INSA documentation register https://insa.gov.et/documentations	2026 proclamation and designated-sector standard listed.
EX12	Ministry of Justice: Critical Infrastructure Proclamation https://justice.gov.et/am/law/critical-infrastructure-cybersecurity-proclamation-no-1426-2026/	Source of legal instrument; counsel to obtain Gazette text and operative provisions.
EX13	NBE NDPS 2026-2030 https://nbe.gov.et/ndps/	Explicitly labelled DRAFT; policy proposals are not operative licensing rules.
EX14	NBE financial consumer rights https://nbe.gov.et/fcpe/	Public descriptions of consumer rights and resolution processes.
EX15	INSA service and critical-sector standards https://www.insa.gov.et/documentations	Sector-designated standards and security-clearance framework; scope review required.

Annex B — Final sign-off is intentionally vacant

Approval function	Signatory/date	Conclusion / supporting evidence
PSS Legal & Compliance	Not appointed	OPEN
PSS Data Protection / DPO	Not appointed	OPEN
PSS CISO / Risk	Not appointed	OPEN
PSS Technology & Operations	Not appointed	OPEN
Sponsoring Bank Legal	Not appointed	OPEN
PSS CEO / authorised ExCo representative	Not appointed	OPEN